

Savings Count

WITH SAVINGS ACCOUNT INTEREST BEING ONLY 3.5 PER CENT A YEAR, THE AVERAGE INDIAN MIGHT AS WELL BUY GOLD AND KEEP IT UNDER HER PILLOW.

the sharp increase in financial services access points needed to serve people in more than 6,00,000 villages across India. To redress this, we should seriously consider allowing automatic branch licensing for rural India and priority states for local and international players—banks and non-banks. And, at Rs 25 crore of capital, automatic licensing should be allowed for rural banks after a strong financial fitness test. It should also be allowed for non-deposit taking NBFCs as a first step.

► Let there be branchless banking. Branchless banking, which refers to the use of third-party agents and advanced technology platforms to deliver banking services, has proved to be a successful solution to problems in many countries. In 2006, we allowed business correspondents to provide financial services in India. A step in the right direction, even our initial model was hampered by restrictions on who may and may not act as correspondents and what tasks may and may not be outsourced. Nonetheless, the use of the model accelerated. But before this model had time to take root, we circumscribed correspondent operations to within 15 km of a bank branch. Our latest restriction renders the model useless for reaching remote areas in India where branches cannot hope to go. As if this was not enough, we have restricted further the narrow list of permissible business correspondents and have sought to limit even what types of non-profits may be permitted to act like them. For the model to flourish, it is essential that these restrictions be removed and more institutions be allowed to act as

business correspondents. No further restrictions are necessary.

► Let there be bank accounts. Our 'Know Your Customer' (KYC) requirements, which aim to prevent use of the banking system for money laundering or funding terrorism, have proved to be a major bottleneck. KYC requirements ask banks to corroborate the identity and address of clients before they open accounts. But some deserving populations simply cannot meet the documentation requirements. To address this we should remove KYC requirements for accounts where individual transaction amounts fall below a certain amount, say Rs 250. After a "cooling period" of a year, the bank (directly or via a business correspondent) may certify the individual and transfer her funds to a regular savings account. This would credibly differentiate between individuals with genuine difficulty in obtaining KYC documents and those seeking to evade KYC.

► Let the savings be remunerated. Savings bank deposits, most made by individuals, constitute a significant portion of the total deposits of commercial banks, but can earn interest at only 3.5 per cent per annum (the effective rate even may be lower). When considered alongside the other challenges, this regulation means that not only is a savings account virtually impossible to get, the average savings account customer might as well buy gold jewellery with her savings and keep it under her pillow. We need to deregulate the interest rate ceiling on savings accounts so that they become fairly remunerative options for individuals.

► Let there be mutual funds and seamless access to them. Mutual funds give relatively high returns at very low risk. But we have made it difficult to provide a direct link between the bank accounts and money market mutual funds, probably due to the expected flight of money from low interest savings accounts to these mutual funds. And should a saver decide to forgo a savings account in favour of a high interest money-market mutual fund account, she would find that it is not possible to do without a bank account and a PAN number in the first place. She is once again back to dealing with the difficulties of few branches and KYC challenges mentioned earlier. The US, seeing the

1.6%

OF INDIAN WAGE EARNERS INVEST IN MUTUAL FUNDS, WHILE LESS THEN 10 PER CENT OF HOUSEHOLDS HAVE INSURANCE.

Lending a hand:

Automatic licensing should be allowed for rural banks after a strong fitness test for access to easy financial services



SOURIK KAR